HY Analyst: one combined framework

Four groups of method, one pipeline, one expected alpha

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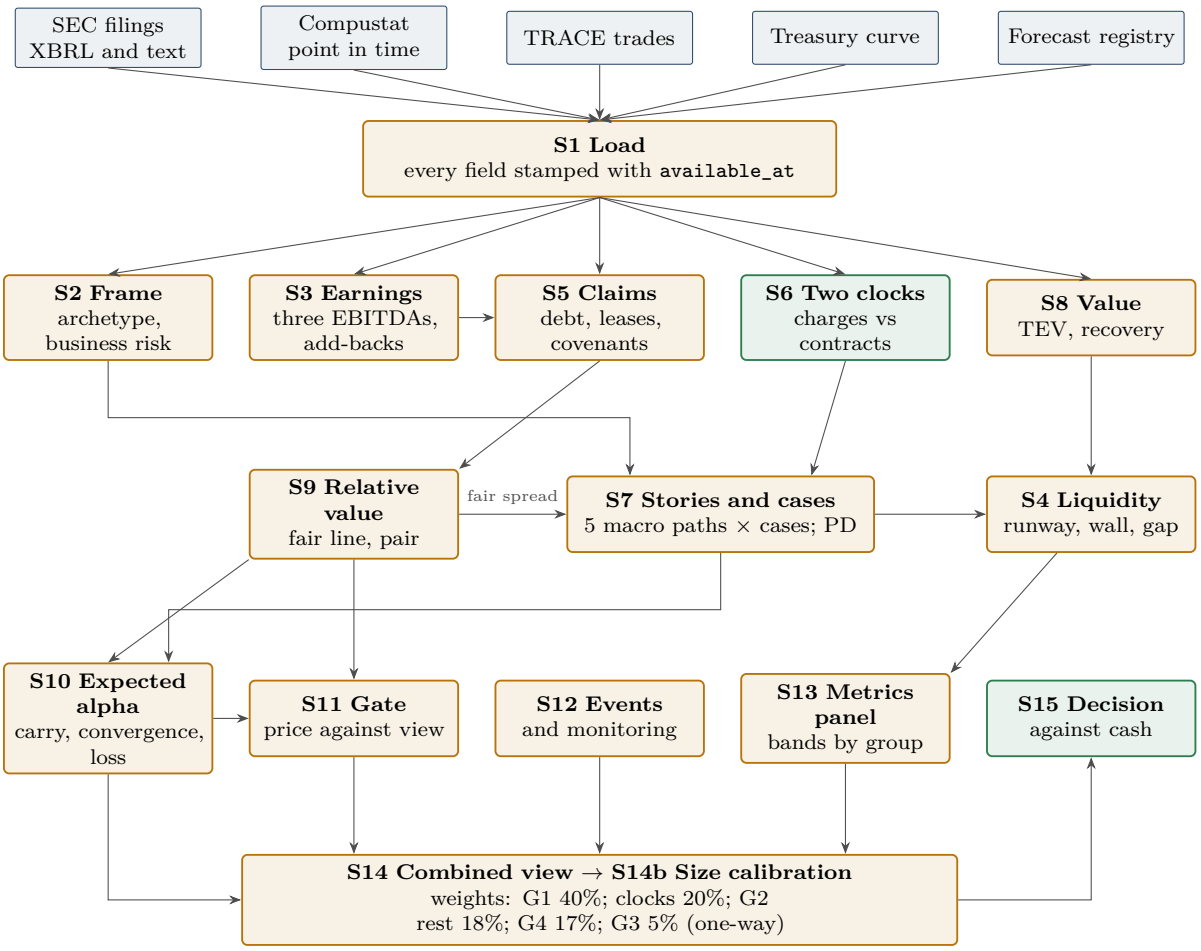
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Summary

1. This document defines one framework for one analyst. It merges four groups of method into a single pipeline of fifteen steps, plus a size calibration step.
2. The four groups are: **G1** the core process (Gatto's seven steps, the methodology, the framework rules, and the relative value PDF); **G2** the methods the code already runs; **G3** seven credit skills, written for private loans and adapted here to public bonds; and **G4** two books, Kricheff and Ganguin and Bilardello (S&P).
3. The analyst loads data stamped with the date it became public, frames the business, cleans earnings, and measures liquidity, claims, covenants, and the gap between fixed charges and signed contracts (the two clocks).
4. The analyst then projects the issuer under five macro stories, values the firm and each bond's recovery, and finds the spread each bond should pay.
5. All of this becomes one number: expected alpha, the six-month return of a hedged long after default loss and cost. The weights are the user's: 40% on the core process, 20% on the two clocks, 18% on the rest of the built methods, 17% on the books and peers, and 5% on the skills (which can only lower the number).
6. The code now charges default loss on the price paid, not on face value. In the gate, the row that turned spread into a default probability no longer votes. A breakeven-default row votes instead: the default rate at which the spread only pays for its loss.
7. The severe-case runway now funds committed capex, so it no longer hides the cash burn of growth commitments.
8. The size calibration is built. The backtest slope is 0.079 (standard error 0.054). That is not reliably above zero, so the number ranks issuers but does not size positions.
9. The decision against cash (S15) is built. It compares each bond with every other use of the same money, cash included, and names the position it would replace. Only this step may say "buy".
10. Real gaps remain. The claims, recovery and covenant work is only partly wired into the pipeline. Credit lines are untagged in the filings, so revolver capacity is missing. Gate rules G4, G5, G7, G8 and G9 are not built.

What this means for you. The ranking is usable; the sizes are not. Under the earlier weights CoreWeave showed a raw alpha of +145 bp a year after cost, and +11 bp after calibration. The new weights lean on the core rules and the clocks, where CoreWeave scores poorly, so its figure is likely to fall. Agent one is rerunning; read the new figures in the memo, not here.

The single analyst pipeline



S1 feeds every step; S13 and S14 read every step; S6 also feeds S9 (pair) and S14 (E5). S7 runs before S4, because the liquidity step reads the case statistics. Only S15 may say "buy".

How to read it. One analyst runs every step, in order, for each issuer. The four groups do not run as separate pipelines. Each group adds rules, metrics or checks to the same steps. The last three steps turn the results into a decision:

- S14 combines all the estimates into one number, the expected alpha. Expected alpha is the six-month return of a hedged long position after default loss and the cost to buy and sell.
- S14b scales that number down to the size that history supports.
- S15 compares the bond with every other use of the same money, cash included.